

Contract Type:	Rental Agreement	Overall Risk:	HIGH (85/100)
Total Clauses:	5	Issues Flagged:	4
Reading Time:	1 mins	Analysis Date:	Nagpur AI Engine v1.0

Executive Summary

High risk rental agreement with unfair security deposit and eviction terms.

Summary of Flagged Issues

Clause ID	Category	Risk Level	Identified Vulnerability
CLAUSE_2	Security Deposit	CRITICAL	Deposit forfeiture allowed for normal wear and tear or at landlord's sole discretion.
CLAUSE_3	Termination	CRITICAL	Immediate eviction or termination without notice / on oral notice.
CLAUSE_4	Maintenance	HIGH	Tenant is made responsible for all structural repairs and major maintenance.
CLAUSE_5	Inspection Rights	CRITICAL	Landlord reserves entry rights at any time without prior notice.

Missing Protections

Missing Protection	Risk & Importance	Suggested Wording / Remedy
Notice Period Clause	The agreement is missing a defined notice period. This could lead to arguments over how much advance warning is required before moving out or requesting eviction.	Specify a clear 30-day or 60-day written notice period for termination.
Dispute Resolution Clause	There is no step-by-step dispute resolution process. If a disagreement arises, either party can immediately file an aggressive lawsuit without trying mediation first.	Add a clause requiring 30 days of mutual mediation before initiating court filings.
Arbitration Clause	No arbitration mechanism is specified. Tenancy disputes in civil courts in India can take 5 to 10 years to resolve. Arbitration speeds up resolution to 6-12 months.	Insert an arbitration clause governed by the Arbitration and Conciliation Act, 1996, designating ████████ (Nagpur) as seat.
Governing Law Clause	The contract does not state which state's laws govern this lease. This creates legal ambiguity if a dispute arises.	Add: 'This agreement shall be governed by the laws of India and the state where the property is situated.'

Jurisdiction Clause	No court is designated for exclusive jurisdiction. You could be forced to defend a legal suit in another city if the landlord files there.	Specify that the competent courts at Nagpur, Maharashtra shall have exclusive jurisdiction.
Renewal Escalation Cap	No rent escalation cap is defined for lease renewals. At the end of the 11 months, the landlord can demand a 50% rent increase or force you to relocate.	Define a renewal option with a capped annual escalation rate not exceeding 5-8%.
Force Majeure Clause	No force majeure protection exists. If a government lockdown or natural disaster shuts down your operations, you will still be legally obligated to pay 100% of the rent.	Add a clause suspending or reducing rent during acts of God, pandemics, lockdowns, or disasters.
Limitation of Tenant Liability	There is no limit on your liability for accidental damage to the premises, exposing you to claims for rebuilding the entire property in case of a fire or disaster.	Limit the tenant's liability to a capped amount (e.g. 6 months' rent) and exclude liability for structural failures.

Detailed Clause-by-Clause Risk Analysis

The following is an explainable granular analysis of key clauses in the contract, detailing matched evidence, specific offending sentences, potential legal consequences, and suggested dynamic rewrites.

CLAUSE 1 — Payment Terms [RISK: LOW]

Original Clause Text:

The monthly rent shall be Rs. 12,000, payable on or before the 5th day of each month. A grace period of 5 days is allowed before late fees apply.

Vulnerability: No issues identified. Clause conforms to standard legal templates.

Matched Evidence: 'Contextual similarity' (Risk Weight: +0)

What this means: Vague payment terms can lead to disputed deadlines. High daily penalties (e.g. ₹500/day or 2% daily interest) constitute legal penalties, which are generally unenforceable under Indian contract law but cause severe harassment.

Consequences: Standard clause, low operational risk.

AI Dynamic Rewrite (Safer Wording):

Rent shall be paid monthly on or before the 5th day of each calendar month. A grace period of 5 days shall be allowed. In the event of late payment, the Tenant shall pay interest at a reasonable rate not exceeding 10% per annum on the overdue amount.

Relevant Indian Law: Indian Contract Act, 1872 — Section 73 (Reasonable Compensation), Model Tenancy Act, 2021 — Section 9

How to Negotiate: Check for a grace period (standard is 5 days). If there is a late payment penalty, verify that the rate is reasonable (annualized, not daily) and not unconscionable.

CLAUSE 2 — Security Deposit [RISK: CRITICAL]

Original Clause Text:

The Tenant shall pay a security deposit of Rs. 1,20,000 (equivalent to 10 months' rent). The Landlord reserves the right to forfeit the entire deposit at his sole discretion for any damage, including normal wear and tear. The deposit will be refunded within 180 days of vacating.

Vulnerability: Deposit forfeiture allowed for normal wear and tear or at landlord's sole discretion.

Matched Evidence: '10 months, wear and tear, forfeit, sole discretion, 180 days' (Risk Weight: +20)

Flagged Sentence: "The Landlord reserves the right to forfeit the entire deposit at his sole discretion for any damage, including normal wear and tear."

What this means: The clause allows the landlord to forfeit your deposit for 'normal wear and tear' or under subjective criteria. In Indian tenancy law, normal wear and tear is the landlord's liability; the tenant is only responsible for willful or negligent damages.

Consequences: You could lose your entire deposit (■■■120,000) at the end of the term even if you maintain the property in excellent condition, with no immediate legal recourse.

AI Dynamic Rewrite (Safer Wording):

The Tenant shall pay a security deposit of Rs. 1,20,000 (equivalent to 2 months' rent). The Landlord reserves the right to deduct only actual repair costs only for actual documented damage exceeding normal wear and tear, excluding normal wear and tear. The deposit will be refunded within 30 days of vacating.

Relevant Indian Law: Model Tenancy Act, 2021 — Section 11, Transfer of Property Act, 1882 — Section 108, Maharashtra Rent Control Act, 1999

How to Negotiate: Demand that the phrase 'normal wear and tear excepted' be explicitly added, and that any deductions require written itemized repair bills.

Financial Exposure: Full deposit amount at risk (up to ■■■120,000).

CLAUSE 3 — Termination [RISK: CRITICAL]

Original Clause Text:

The Landlord may terminate this agreement with 24 hours notice. The Tenant shall vacate immediately upon oral notice from the Landlord without any court order or legal process.

Vulnerability: Immediate eviction or termination without notice / on oral notice.

Matched Evidence: '24 hours, immediate, oral, one-sided' (Risk Weight: +20)

Flagged Sentence: *"The Landlord may terminate this agreement with 24 hours notice."*

What this means: This clause gives the landlord the right to terminate the lease immediately or with extremely short notice (e.g. 24 hours) or on verbal/oral communication without court intervention.

Consequences: Your business can be forced onto the street overnight, disrupting operations, causing major financial losses, and giving you no time to locate alternative premises.

AI Dynamic Rewrite (Safer Wording):

The Landlord may terminate this agreement with 30 days' written notice. The Tenant shall vacate immediately upon 30 days' written notice from the Landlord without any court order or legal process.

Relevant Indian Law: Indian Contract Act, 1872 — Section 73, Transfer of Property Act, 1882 — Section 106, Model Tenancy Act, 2021 — Section 21

How to Negotiate: Insist on a minimum 30-day (or 60-day for commercial leases) written notice period for convenience, and a 15-day cure period for breaches.

Financial Exposure: Complete loss of business continuity and fit-out investments.

CLAUSE 4 — Maintenance [RISK: HIGH]

Original Clause Text:

The Tenant shall be solely responsible for all repairs, including structural repairs, plumbing, and electrical work, during the tenancy. The Landlord shall bear no maintenance costs.

Vulnerability: Tenant is made responsible for all structural repairs and major maintenance.

Matched Evidence: 'all repairs, structural, tenant responsible' (Risk Weight: +15)

Flagged Sentence: *"The Tenant shall be solely responsible for all repairs, including structural repairs, plumbing, and electrical work, during the tenancy."*

What this means: The clause shifts the burden of structural maintenance (like foundation, leaking roofs, external walls, major plumbing lines) entirely onto the tenant. By law, structural maintenance is the landlord's duty.

Consequences: You could be forced to pay hundreds of thousands of rupees to fix leaking roofs, structural cracks, or electrical mains wiring that you do not own.

AI Dynamic Rewrite (Safer Wording):

The Landlord shall be responsible for all structural repairs, major plumbing, and electrical issues. The Tenant shall be responsible for routine daily upkeep, minor repairs costing under ₹2,000, and damage caused by their negligence.

Relevant Indian Law: Model Tenancy Act, 2021 — Section 15 (Second Schedule list of repairs), Transfer of Property Act, 1882 — Sec. 108

How to Negotiate: Negotiate to explicitly separate structural repairs (Landlord's cost) from routine day-to-day minor maintenance (Tenant's cost, e.g. bulbs, minor painting).

Financial Exposure: High capital expenditure risk on landlord's asset.

CLAUSE 5 — Inspection Rights [RISK: CRITICAL]

Original Clause Text:

The Landlord or his representatives may enter the premises at any time without prior notice for inspection or repairs.

Vulnerability: Landlord reserves entry rights at any time without prior notice.

Matched Evidence: 'any time, without notice' (Risk Weight: +20)

Flagged Sentence: *"The Landlord or his representatives may enter the premises at any time without prior notice for inspection or repairs."*

What this means: The clause permits the landlord to enter the leased property at any hour without notifying you. This violates the legal covenant of 'quiet enjoyment' and your right to privacy.

Consequences: Disrupts business operations, compromises trade secrets/customer privacy, and presents safety concerns.

AI Dynamic Rewrite (Safer Wording):

The Landlord or his representatives may enter the premises upon providing at least 24 hours' prior written notice, during reasonable business hours and in the presence of the Tenant for inspection or repairs.

Relevant Indian Law: Model Tenancy Act, 2021 — Section 15 (Entry of Landlord), Indian Constitution — Article 21 (Right to Privacy)

How to Negotiate: Insist on 'minimum 24 hours' prior written notice' and 'entry only during normal business hours' and 'in the presence of the Tenant'.

Financial Exposure: Operational disruption and privacy breach.

ClauseGuard AI — Negotiation Checklist

Before signing this contract, ensure you have addressed the following items with the counterpart. Use the AI Suggested Rewrites from the previous pages as your template guide:

- ☐ **Security Deposit Capping:** Request reduction of security deposit to 2-3 months rent.
- ☐ **Disclaim Wear and Tear:** Ensure a clause explicitly declares that security deposit is returned in full, excluding normal wear & tear.
- ☐ **Mutual notice periods:** Standardize notice periods so both parties have equal notice periods (minimum 30 days) to terminate.
- ☐ **Cure periods:** Add a cure period (minimum 15 days) to rectify defaults before termination can be initiated.
- ☐ **Limit entry rights:** Require at least 24 hours advance written notice for any inspection or entry visits.
- ☐ **Rent escalation limits:** Cap annual rent increases at a maximum of 5% to 8% per annum.
- ☐ **Incorporate Force Majeure:** Ensure a modern act of god/lockdown clause is added to suspend rent obligations.
- ☐ **Document conditions:** Record property inventory and physical conditions with dated photos prior to taking possession.

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